C.H. Robinson Worldwide (CHRW) — 10-Q excerpt (MD&A Results of Operations + income statement), filed 2026-05-01, source: https://www.sec.gov/Archives/edgar/data/1043277/000104327726000016/chrw-20260331.htm

=== MANAGEMENT'S DISCUSSION AND ANALYSIS (Q1 2026 Results of Operations) === OVERVIEW C.H. Robinson Worldwide, Inc. (“C.H. Robinson,” “the company,” “we,” “us,” or “our”) is one of the largest global logistics providers in the world. As a leader in Lean AI supply chains, we deliver logistics like no one else. For more than a century, companies everywhere have looked to us to reimagine how goods move. We deliver tailored solutions across the world via truckload, less-than-truckload, ocean, air, and more. With our unique combination of human insight and Lean AI working as one, supply chains move faster, smarter, and more sustainably. Our adjusted gross profits and adjusted gross profit margin are non-GAAP financial measures.

Adjusted gross profits are calculated as gross profits excluding amortization of internally developed software utilized to directly serve our customers and contracted carriers. Adjusted gross profit margin is calculated as adjusted gross profits divided by total revenues. We believe adjusted gross profits and adjusted gross profit margin are useful measures of our ability to source, add value, and sell services and products that are provided by third parties, and we consider adjusted gross profits to be a primary performance measurement. Accordingly, the discussion of our results of operations often focuses on the changes in our adjusted gross profits and adjusted gross profit margin. 20 Table of Contents The reconciliation of gross profits to adjusted gross profits and gross profit margin to adjusted gross profit margin is presented below (dollars in thousands): Three Months Ended March 31, 2026 2025 Revenues: Transportation $ 3,643,711 $ 3,721,915 Sourcing 369,223 324,825 Total revenues 4,012,934 4,046,740 Costs and expenses: Purchased transportation and related services 3,015,310 3,081,370 Purchased products sourced for resale 337,131 292,282 Direct internally developed software amortization 13,862 15,666 Total direct costs 3,366,303 3,389,318 Gross profits / Gross profit margin 646,631 16.1% 657,422 16.2% Plus: Direct internally developed software amortization 13,862 15,666 Adjusted gross profits / Adjusted gross profit margin $ 660,493 16.5% $ 673,088 16.6% Our adjusted operating margin is a non-GAAP financial measure calculated as operating income divided by adjusted gross profits.

We believe adjusted operating margin is a useful measure of our profitability in comparison to our adjusted gross profits, which we consider a primary performance metric as discussed above. The reconciliation of operating margin to adjusted operating margin is presented below (dollars in thousands) : Three Months Ended March 31, 2026 2025 Total revenues $ 4,012,934 $ 4,046,740 Income from operations 175,686 176,853 Operating margin 4.4% 4.4% Adjusted gross profits $ 660,493 $ 673,088 Income from operations 175,686 176,853 Adjusted operating margin 26.6% 26.3% 21 Table of Contents MARKET TRENDS During the first quarter of 2026, the North American surface transportation market experienced heightened volatility, driven primarily by tightening carrier capacity and rising operating costs, while freight demand showed only limited signs of recovery.

Capacity pressures increased as regulatory enforcement activity and higher operating costs accelerated carrier attrition, contributing to higher market pricing. These conditions were exacerbated by winter weather, which created regional capacity constraints. In addition, escalating geopolitical uncertainty contributed to higher diesel fuel prices, further increasing all-in transportation rates and adding near-term cost pressure and operational complexity for both carriers and shippers. One of the key metrics we use to measure market conditions is the truckload routing guide depth from our Managed Solutions business. This metric measures the average number of carriers contacted before securing a transportation provider.

Routing guide depth of 1 would be perfect performance and 2 would be extremely poor. As carrier capacity tightened during the quarter, routing guide performance deteriorated, with average routing guide depth increasing to 1.5 in the first quarter of 2026, compared to 1.3 in both the fourth quarter of 2025 and the first quarter of 2025. Looking ahead, continued uncertainty related to fuel prices, regulatory enforcement impacting driver availability, and geopolitical disruptions may continue to drive volatility and exert upward pressure on transportation rates as the industry enters the seasonally stronger spring and summer months. During the first quarter of 2026, the global forwarding market was influenced primarily by supply-side dynamics rather than underlying demand conditions.

Market conditions reflected the impact of conflict-related rerouting, elevated fuel costs, and carriers’ strategic capacity management actions, including blank sailings. This compared to the first quarter of 2025, where ocean freight volumes accelerated ahead of anticipated tariff implementations. Ocean freight rates declined substantially during the first quarter of 2026 driven by excess vessel capacity but were increasingly influenced by fuel-related surcharges. The airfreight market remained balanced, mirroring the first quarter of 2025 although pricing was similarly affected by elevated fuel costs. Airspace restrictions related to the conflict in the Middle East resulted in longer flight times, contributing to increased fuel consumption and higher operating costs near the end of the first quarter of 2026.

BUSINESS TRENDS Our surface transportation business operated in a rising cost environment during the first quarter of 2026, as discussed in the Market Trends section. As a result of these challenging market conditions, our average truckload linehaul cost per mile, excluding fuel surcharges, increased approximately 13.0 percent during the first quarter of 2026 compared to the first quarter of 2025. Our average truckload linehaul rate charged to our customers, excluding fuel surcharges, increased approximately 11.0 percent during the first quarter of 2026. Despite the rapidly increasing cost environment, we improved our adjusted gross profit per transaction in both truckload and less than truckload (“LTL”) services, driven by the continued advancement of our dynamic pricing and costing capabilities.

These capabilities enabled us to respond faster and more surgically to meet our contractual commitments and adapt quickly to the changing spot market. Our combined North American Surface Transportation (“NAST”) truckload and LTL volume held flat year-over-year in the first quarter of 2026, significantly outperforming the Cass Freight Index, which declined 6.2 percent compared to the first quarter of 2025. Our global forwarding results in the first quarter of 2026 were largely in-line with the market trends discussed above. Our year-over-year ocean freight shipments decreased 10.5 percent and our airfreight tonnage decreased 15.0 percent, driven by the accelerated shipping activity ahead of anticipated tariff implementations in the first quarter of 2025.

On February 1, 2025, we divested our Europe Surface Transportation business, which provided transportation and logistics services, including truckload and LTL transportation services across Europe. This business represented the majority of our Other Surface Transportation operations included in All Other and Corporate. SELECTED OPERATING PERFORMANCE AND OTHER SIGNIFICANT ITEMS The following summarizes select first quarter 2026 year-over-year operating comparisons to the first quarter 2025: • Total revenues decreased 0.8 percent to $4.0 billion, primarily driven by lower volume in our ocean and truckload services and lower pricing in our ocean services. This was partially offset by higher pricing in our truckload and LTL services.

• Gross profits decreased 1.6 percent to $646.6 million. Adjusted gross profits decreased 1.9 percent to $660.5 million, primarily driven by lower adjusted gross profit per transaction and lower volume in our ocean services. This was partially offset by higher adjusted gross profit per transaction in our LTL services. 22 Table of Contents • Personnel expenses increased 1.2 percent to $352.7 million, primarily due to higher restructuring charges related to workforce reductions. This was partially offset by cost optimization efforts and productivity improvements. Average employee headcount decreased 12.3 percent. • Other selling, general, and administrative (“SG&A”) expenses decreased 10.6 percent to $132.1 million primarily due to a prior year impairment charge on our Kansas City regional center lease resulting from the execution of a sublease agreement on a portion of the building.

In addition, other SG&A expenses declined across several expense categories in 2026 due to cost optimization efforts. • Income from operations decreased 0.7 percent to $175.7 million, due to the decrease in adjusted gross profit and higher restructuring charges, partially offset by the decrease in operating expenses. • Adjusted operating margin of 26.6 percent increased 30 basis points. • Interest and other income/expense, net totaled $9.0 million of expense, consisting primarily of $14.0 million of interest expense, which decreased $2.8 million versus last year due to a lower average debt balance and lower variable interest rates. The first quarter of 2026 results also include a $1.7 million net gain from foreign currency revaluation and realized foreign currency gains and losses.

• The effective tax rate in the quarter was 11.7 percent compared to 13.7 percent in the first quarter last year. The lower rate in the first quarter of 2026 was driven by higher tax benefits related to stock-compensation deliveries, partially offset by non-recurring discrete items and lower U.S. and foreign tax credits and incentives. • Net income totaled $147.2 million, an increase of 8.8 percent from a year ago. • Diluted earnings per share increased 9.9 percent to $1.22. • Cash flow from operations decreased $37.9 million, primarily driven by a sequential increase in net operating working capital. 23 Table of Contents CONSOLIDATED RESULTS OF OPERATIONS The following table summarizes our results of operations (dollars in thousands, except per share data): Three Months Ended March 31, 2026 2025 % change Revenues: Transportation $ 3,643,711 $ 3,721,915 (2.1) % Sourcing 369,223 324,825 13.7 % Total revenues 4,012,934 4,046,740 (0.8) % Costs and expenses: Purchased transportation and related services 3,015,310 3,081,370 (2.1) % Purchased products sourced for resale 337,131 292,282 15.3 % Personnel expenses 352,723 348,553 1.2 %

Other selling, general, and administrative expenses 132,084 147,682 (10.6) % Total costs and expenses 3,837,248 3,869,887 (0.8) % Income from operations 175,686 176,853 (0.7) % Interest and other income/expense, net (9,013) (20,051) (55.0) % Income before provision for income taxes 166,673 156,802 6.3 % Provision for income taxes 19,440 21,500 (9.6) % Net income $ 147,233 $ 135,302 8.8 % Diluted net income per share $ 1.22 $ 1.11 9.9 % Average employee headcount 11,705 13,347 (12.3) % Adjusted gross profit margin percentage (1) Transportation 17.2 % 17.2 % — bps Sourcing 8.7 % 10.0 % (130 bps) Total adjusted gross profit margin 16.5 % 16.6 % (10 bps) ________________________________ (1) Adjusted gross profit margin is a non-GAAP financial measure explained above.

A reconciliation of our reportable segments to our consolidated results can be found in Note 8, Segment Reporting, in Part I, Financial Information of this Quarterly Report on Form 10-Q. Consolidated Results of Operations—Three Months Ended March 31, 2026, Compared to the Three Months Ended March 31, 2025 Total revenues and direct costs. Total transportation revenues and direct costs decreased primarily due to lower volume in ocean and truckload services and lower pricing in ocean services, partially offset by higher pricing in truckload and LTL services. Our ocean volumes and pricing declined compared to the elevated levels experienced in the first quarter of 2025, which benefited from accelerated shipping activity ahead of anticipated tariff implementations.

Pricing has also declined substantially due to excess vessel capacity in the market. In our NAST business, industry volumes continued to decline, while capacity pressures increased as regulatory enforcement activity and higher operating costs accelerated carrier attrition, contributing to higher market pricing. These conditions were exacerbated by winter weather, which created regional capacity constraints. Our sourcing total revenue and direct costs increased, driven by increased volume in foodservice and retail customers. 24 Table of Contents Gross profits and adjusted gross profits. Our transportation adjusted gross profits decreased, driven primarily by lower adjusted gross profit per transaction in ocean services and lower volume in ocean and truckload services, as discussed above.

These declines were partially offset by higher adjusted gross profit per transaction in our LTL and truckload services. The decrease in ocean adjusted gross profit per transaction was primarily attributable to excess vessel capacity, which significantly reduced pricing across the market. The higher adjusted gross profit per transaction in our LTL and truckload services was driven by the continued advancement of our dynamic pricing and costing capabilities. These capabilities enabled us to respond faster and more surgically to meet our contractual commitments and adapt to rising spot market costs during the first quarter of 2026. Sourcing adjusted gross profits decreased slightly driven by margin compression primarily with retail customers.